

FEDERAL MARITIME COMMISSION

MAVL CAPITAL, INC., IAM AND AL
GROUP, INC. AND MAXIM
OSTROVSKIY ,

Complainants,

v.

MARINE TRANSPORT LOGISTICS,
INC. AND DIMITRY ALPER ,

Respondents.

Docket No. 16-16

Served: June 12, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE and Daniel B. MAFFEI,
Commissioners.

ORDER GRANTING RESPONDENTS' MOTION TO WITHDRAW

Counsel for Respondent Marine Transport Logistics, Inc. (Marine Transport) move to withdraw their representation on the grounds that Marine Transport has failed to pay substantial legal bills, fundamentally disagrees with counsel's recommendations, and

refuses to consider or follow their legal advice. Marine Transport does not contest counsel's motion to withdraw. Complainants and Respondent Alper have not responded to the motion to withdraw. Respondents have filed a Stipulation of Substitution of Counsel substituting Garry Pogil, Esq. as counsel for Marine Transport.

The Commission grants Marine Transport's counsel leave to withdraw because they have demonstrated good cause for terminating their representation under Rule 23 of the Commission's Rules of Practice and Procedure and Rule 1.16 of the American Bar Association (ABA) Model Rules of Professional Conduct.

I. BACKGROUND

A. Factual Background

Complainants MAVL Capital, Inc., IAM & AL Group, Inc., and Maxim Ostrovskiy allege multiple violations of the Shipping Act related to the overseas shipment of two automobiles (a Mercedes and a Porsche) and three Harley Davidson motorcycles. Compl. ¶¶ 27-51. Complainants allege that they engaged Respondent Marine Transport Logistics (Marine Transport) to store and ship the Mercedes and Porsche. *Id.* According to Complainants, without their permission, Respondents converted the vehicles, shipped them to the United Arab Emirates, and may have sold them. *Id.* Complainants further allege that they selected another company to store the three motorcycles for shipment overseas, but Respondents directed that company not to ship the vehicles. *Id.* Complainants allege that Respondents have violated 46 U.S.C. §§ 41102(c), 41104(3), and 41104(10).

The parties are litigating issues related to the same vehicles in an action before the United States District Court for the Eastern District of New York. *MAVL Capital, Inc. v. Marine Transport*

Logistics, Inc. (MAVL-EDNY), No. 13-CV-7110 (E.D.N.Y.)
(alleging violations of the Shipping Act, RICO,¹ and state law).

B. Procedural History

Complainants filed this action in August 2016 seeking reparations for Respondents' alleged violations of the Shipping Act. Compl. ¶¶ 1-51. The case was assigned to Administrative Law Judge Clay G. Guthridge. In January 2017, the ALJ issued an Initial Decision partially dismissing the complaint. Initial Decision (I.D.), Jan. 17, 2017, at 19-27. The ALJ dismissed with prejudice all claims related to one vehicle (a Mercedes) and three motorcycles. *Id.* The ALJ dismissed the claims on jurisdictional grounds because Complainants did not allege or prove there was a contract to transport those vehicles overseas. *Id.* at 14-15. The ALJ did not dismiss the claims related to a Porsche. *Id.* at 28.

Complainants filed timely exceptions. Complainants' Brief in Support of its Exceptions to Initial Decision, Feb. 8, 2017. Both Respondents replied to Complainants' exceptions. Reply to Complainants' Exceptions to the January 17, 2017 Initial Decision, filed by Marine Transport, Mar. 2, 2017; Resp't Dimity Alper's Brief in Opposition to Complainants' Exceptions to Initial Decision, Mar. 2, 2017. Complainants later petitioned for leave to supplement their exceptions. Pet. for Leave to Supplement Exceptions of Complainants to the Initial Decision, Mar. 7, 2017. Marine Transport opposed Complainants' request to supplement their exceptions. Reply to Complainants' Pet. for Leave to Supplement Exceptions, Mar. 9, 2017.

In January 2017, the ALJ stayed all proceedings until Complainants' exceptions are decided. Order Staying Proceeding Pending Commission Decision on Exceptions, Jan. 27, 2017, at 2. In October 2017, Complainants requested the Commission issue a subpoena compelling nonparty Maersk Line to respond to written deposition questions. The Commission denied Complainants'

¹ Racketeer Influenced and Corrupt Organizations Act, 18 U.S.C. §§ 1961, *et seq.*

request. Order Denying Request for Issuance of Subpoena, Dec. 7, 2017.

In February 2018, Marine Transport’s counsel, Stephen H. Vengrow, Esq., and Eric Chang, Esq., of Montgomery McCracken Walker & Rhoads, LLP, moved to withdraw their representation. Mot. to be Relieved as Counsel for Respondent Marine Transport Logistics, Inc. (Counsel’s Mot.), Feb. 22, 2018. Counsel served Marine Transport with the motion by email and United States mail on the date of filing. *Id.* at 4. None of the parties responded to counsel’s motion to withdraw. On May 2, 2018, Respondents filed a Stipulation of Substitution of Counsel substituting Garry Pogil, Esq. as counsel for Marine Transport, and Mr. Pogil has entered his appearance.

III. DISCUSSION

A. Motion to Withdraw by Marine Transport’s Counsel

Counsel for Marine Transport move to withdraw because their client has failed to pay overdue legal bills despite repeated warnings that failure to pay would lead to counsel withdrawing their representation. *Id.* at 2. Counsel explain that Marine Transport also fundamentally disagrees with their litigation strategy and has refused to consider or follow legal advice. *Id.* Counsel served Marine Transport with the motion to withdraw on the date of filing (*Id.* at 4), but Marine Transport has not filed an opposition disputing counsel’s stated reasons for moving to withdraw.

Under Commission Rule 23, counsel seeking leave to withdraw without their client’s consent when the client is not “otherwise represented” must demonstrate “appropriate reasons” for allowing counsel to withdraw. 46 C.F.R. § 502.23(e). Granting leave to withdraw is subject to the Commission’s discretion. *See generally Brandon v. Blech*, 560 F.3d 536, 537 (6th Cir. 2009) (leave to withdraw legal representation subject to judicial discretion).

Rule 23 cites the factors set forth in ABA Rule 1.16 as the governing standard. § 502.23(e); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.* (Crocus Opin.), Docket No. 15-04, slip op. (FMC Jul. 14, 2016) (applying ABA Rule 1.16 factors in granting Complainants' prior counsel leave to withdraw). Rule 1.16 lists the following as circumstances that can justify withdrawing representation:

- (1) absence of material, adverse impact on the client's interests;
 - (2) client's insistence on "taking action" with which counsel fundamentally disagrees;
 - (3) client's failure to "substantially to fulfill an obligation to the lawyer regarding the lawyer's services" despite receiving "reasonable warning that the lawyer will withdraw unless the obligation is fulfilled;"
 - (4) continuing representation will impose an unreasonable financial burden on counsel or has been made "unreasonably difficult" by the client; and
 - (5) when "other good cause for withdrawal exists."
- Id.*

Marine Transport's counsel cite multiple Rule 1.16 grounds for terminating their representation. Counsel's Mot., at 2. First, Marine Transport is four months in arrears in paying substantial fees for services provided in this case and other matters. *Id.* Counsel contend that continuing to provide legal services without compensation would financially burden their firm. *Id.* The attorney/client relationship is contractual, and clients' failure to pay for legal services violates the basic terms of that contractual arrangement. *See Hammond v. T.J. Little and Co.*, 809 F. Supp. 156, 159 (D. Mass. 1992). By failing to pay for services rendered, Marine Transport has not met its contractual responsibility. *See, e.g., Lieberman v. Polytop Corp.*, 2 Fed. Appx. 37, 39 (1st Cir. 2001) (client owing substantial fees failed to meet contractual obligation); *Honda Power Equip. Mfg., Inc. v. Woodhouse*, 219 F.R.D. 2, 6 (D.D.C. 2003) (counsel justified in withdrawing when client is unresponsive and in arrears).

Second, counsel state that Marine Transport fundamentally disagrees with counsel's recommended legal strategy and is not willing to consider or follow their advice. Counsel's Mot. at 2. A client's refusal to follow advice and substantial disagreement on how to proceed are sound reasons for withdrawing representation. *See, e.g. Sabre Int'l Sec. v. Torres Advanced Enter. Sols., LLC*, 219 F. Supp. 3d. 155, 158-59 (D.D.C. 2016).

Finally, Marine Transport will not be prejudiced by counsel withdrawing at this stage of the proceedings. Respondents are now represented by Mr. Pogil who entered his appearance on their behalf on May 2, 2018. There are no impending deadlines that require counsel's preparation or assistance. Complainants' exceptions and their petition to supplement the exceptions have been fully briefed. *Cf. Spann v. N.C. Dep't of Pub. Safety*, No. 1:17-cv-104, 2017 U.S. Dist. LEXIS 200732 (W.D.N.C. Dec. 6, 2017) (denying motion to withdraw representation because responsive pleadings were due within days).

The Commission hereby grants counsel's motion to withdraw as justified under ABA Rule 1.16 and Commission Rule 23. *See Crocus*, slip op. at 2 (citing clients' lack of cooperation and failure to meet obligations and absence of material prejudice as grounds for allowing counsel to withdraw). Proceedings before the ALJ are stayed pending a decision on Complainants' exceptions to the Initial Decision.

III. CONCLUSION

THEREFORE, IT IS ORDERED:

- (1) Respondents' motion to withdraw representation is granted; and

(2) The final decision deadline, which is currently June 26, 2018, is hereby extended by 6 months to December 26, 2018.

By the Commission.

Rachel E. Dickon
Secretary